TENTATIVE RULINGS
DEPARTMENT C11 - LAW AND MOTION CALENDAR

Judge Jonathan Fish

July 27, 2026

LAW AND MOTION IS HEARD ON MONDAYS AT 1:30 P.M.

Court Reporters: Official court reporters (i.e., court reporters employed by the Court) are **NOT** typically provided for law and motion matters in this Department. If a party desires a record of a law and motion proceeding, it must provide a court reporter. Parties must comply with the Court's policy on the use of privately-retained court reporters, which can be found at:

- Civil Court Reporter Pooling;
- Please see the Court's website at Court Reporter Interpreter Services for additional information regarding the availability of court reporters.

Tentative Rulings: The Court endeavors to post tentative rulings on the Court's website by 5 p.m. on the preceding Friday. Do NOT call the Department for a tentative ruling if none is posted. Tentative rulings may not be posted on every case – or may be posted the morning of the hearing – due to the Court's other commitments or the nature of a particular motion. **The Court will NOT entertain a request for continuance or the filing of further documents once a tentative ruling has been posted.**

Submitting on tentative rulings: If all counsel intend to submit on the tentative ruling and do not desire oral argument, please advise the Courtroom Clerk or Courtroom Attendant by calling (657) 622-5211. Please do not call the Department unless **all** parties submit on the tentative ruling. If all sides submit on the tentative ruling and so advise the Court, the tentative ruling shall become the Court's final ruling and the prevailing party shall give notice of the ruling and prepare an order for the Court's signature, if appropriate under Cal. R. Ct. 3.1312.

Non-appearances: If no one appears for the hearing and the Court has not been notified that all parties submit on the tentative ruling, the Court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling. The Court also might make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

Appearances: Remote and In-Person Proceedings. Parties are referred to the Court's "Appearance Procedures and Information – Civil Unlimited and Complex" and "Guidelines for Remote Appearances" available on the Public Website.

#	Case Name	
1	American Lending Center Holdings Inc. vs. Zhou 2025-01507222	Motion for Sanctions Defendant Leo Zhou's motion for monetary sanctions against plaintiff American Lending Center Holdings Inc. and its counsel under Code of Civil Procedure section 128.7 for the filing of the original complaint in this action is denied. [ROA # 23.] Defendant's evidentiary objections are overruled. The evidentiary burden to successfully defend a section 128.7 sanctions motion is slight. *Kumar v. Ramsey* (2021) 71 Cal.App.5th 1110, 1126. Further, when evaluating a client's case and making an initial assessment of tenability, the attorney is entitled to rely on information provided by the client. *See Swat-Fame*, *supra*, 101 Cal.App.4th at p. 629 ["based on the information available to them, the lawyers had probable cause at the time they *initiated* the underlying action"].) (disapproved on other grounds). *See also Peake v. Underwood* (2014) 227 Cal.App.4th 428, 448 (""Because our adversary system requires that attorneys and litigants be provided substantial breathing room to develop and assert factual and legal arguments . . . .). There is no contention that Defendant's motion was untimely filed or served. Defendant's motion is not made moot by the filing of the FAC *after* the safe harbor period had run but before hearing. *Day v. Collingwood* (2006) 144 Cal.App.4th 1116, 1126. **Legal Standard for Motion for Sanctions under Code of Civil Procedure Section 128.7** By presenting a pleading to the court, an attorney or unrepresented party is certifying that, to the best of the person's knowledge, information and belief, formed after an inquiry reasonable under the circumstances that all of the following conditions are met: (1) it is not being presented primarily for an improper purpose; (2) the claims, defenses, or other legal contentions are warranted by existing law or by a nonfrivolous argument for the extension, modification or reversal of existing law or the establishment of new law; (3) the allegations and other factual contentions have evidentiary support, or if specifically so identified, are likely to have evidentiary support after a reasonable opportunity for further investigation or discovery; and (4)

		the denials of factual contentions are warranted on the evidence or, if specifically so identified, are reasonably based on a lack of information or belief. Code Civ. Proc. § 128.7(b). If a pleading does not meet those conditions, a party may bring a motion for sanctions. Code Civ. Proc. § 128.7(c)(1). The purpose of permitting such a motion is remedial, not punitive. The goal is not to punish the offender but to promote compliance and deter frivolous filings. *Malovec v. Hamrell* (1990) 70 Cal.App.4th 434, 440. The sanction moved for and imposed "may consist of, or include, directives of a nonmonetary nature, an order to pay a penalty into court, or, if imposed on motion and warranted for effective deterrence, an order directing payment to the movant of some or all of the reasonable attorney's fees and other expenses incurred as a direct result of the violation." Code Civ. Proc. §128.7(d). In addition, but as a separate matter apart from sanctions for violation of Code Civ. Proc. §128.7(b), "if warranted, the court may award to the party prevailing on the motion the reasonable expenses and attorney's fees incurred in presenting or opposing the motion." Code Civ. Proc. §128.7(c)(1). Notice of the motion shall be served as provided in Code of Civil Procedure section 1010 but shall not be filed with the court unless, within 21 days after service of the motion, the challenged pleading is not withdrawn or appropriately corrected. *Id.* At the time of such service, the motion must set forth the hearing date. *Galleria Plus, Inc. v. Hanmi Bank* (2009) 179 Cal.App.4th 535, 538. There is no requirement that the motion be served again upon filing with the court. Code Civ. Proc. § 128.7(c)(1). If, after notice and a reasonable opportunity to respond, the court determines that Code of Civil Procedure section 128.7(b) has been violated, the court *may*, subject to the certain conditions, impose an appropriate sanction upon the attorneys, law firm, or parties that have violated section 128.7(b) or are responsible for the violation. Code Civ. Proc. § 128.7(c). The determination of violation is made under an objective standard. *Bockrath v. Aldrich Chem. Co., Inc.* (1999) 21 Cal.4th 71, 82. But whether, upon such a finding, the court should grant sanction is a matter for the court's discretion. *Kojababian v. Genuine Home Loans, Inc.* (2009) 174 Cal.App.4th 408, 420-421 (where, after considering defendants' sanctions motion, the trial court ruled that "[t]he motion is [d]enied. Based on the totality of the file and record in this case, moving parties [defendants] have not carried their high burden sufficient to allow the granting of the motion.") (emphasis added).

		A claim is "objectively unreasonable" if any reasonable attorney would agree that it is totally and completely without merit. *Peake v. Underwood* (2014) 227 Cal.App.4^{th} 428, 440. "Because our adversary system requires that attorneys and litigants be provided substantial breathing room to develop and assert factual and legal arguments, sanctions should not be routinely or easily awarded even for a claim that is arguably frivolous. Courts must carefully consider the circumstances before awarding sanctions." *Id.* at 448. Further, there is law to the effect that a sanctions motion based on contentions of false allegation of fact made without sufficient investigation or basis should be made after discovery on, and even determination of the merits of, the disputed allegation so that the record of what happened is clear. *See, e.g., Baskin v. Lagone* (S.D.N.Y. 1993) 1993 WL 59781, *6; Bomar Resources, Inc. v. Sierra Rutile Ltd* (S.D.N.Y. 1991) 1991 WL 4544 ("The Complaint has been sustained, however, and the Court finds that any motion for sanctions at this time is premature"); *Chesterton v. Chesterton* (D.Mass. 1990) 1990 WL 150066, Fed. Sec. L. Rep. P 95,638 ("Opposition to the Motion to Amend is not the opportune time to judge the veracity of plaintiffs' amended complaint. Defendants' request for Rule 11 sanctions are premature."). *See also Li v. Majestic Industry Hills, LLC.* (2009) 177 Cal. App. 4^{th} 585, 595 (CCP 128.7 based on FRCP Rule 11 and federal cases are authority). > Code of Civil Procedure section 128.7 should be utilized only in "the rare and exceptional case where the action is clearly frivolous, legally unreasonable or without legal foundation, or brought for an improper purpose." (*Operating Engineers Pension Trust v. A-C Co.* (9th Cir. 1988) 859 F.2d 1336, 1344.) "Because our adversary system requires that attorneys and litigants be provided substantial breathing room to develop and assert factual and legal arguments, [section 128.7] sanctions should not be routinely or easily awarded even for a claim that is arguably frivolous" (*Peake, supra*, 227 Cal.App.4th at p. 448), and instead "should be 'made with restraint.' "[9] (*Peake*, at p. 448.) Indeed, even if a plaintiff could not successfully defend against either demurrer or summary judgment, that alone is insufficient to support the sanction of dismissal. (*Ibid*.) *Kumar v. Ramsey* (2021) 71 Cal.App.5th 1110, 1120–1121 (reversing order awarding sanctions) (bold added).

The issue on a section 128.7 sanctions motion is " 'not merely whether the party would prevail on the underlying factual or legal argument,' but rather whether any reasonable attorney would agree that the claim is totally and completely without merit. [Citation.] Hence, the evidentiary burden to escape sanctions under section 128.7 is light." *Id.* at 1126 (bold added). A plaintiff need only make a sufficient evidentiary showing to demonstrate that he made a reasonable inquiry into the facts and entertained a good faith belief in the merits of the claim; he **"**need not [have] amass[ed] even enough evidence to create a triable issue of fact as would be required" to overcome a motion for summary judgment, or allege a valid cause of action, as required to overcome a demurrer. *Ibid.*

Discussion

Defendant contends Plaintiff's complaint was filed without adequate evidentiary support and, thus, for an improper purpose. He contends that the complaint's own allegations, taken together, demonstrate that Plaintiff's claims are internally inconsistent, contradicted by the very facts Plaintiff pleads, and were filed not to vindicate legitimate legal rights but to coerce Defendant into forfeiting his ownership interest in ALCH.

More specifically, Defendant points to the allegations that even while investigating him Plaintiff loaned him significant amounts of money on favorable terms and even gifted him with $100,000. According to Defendant, this defies reason and shows the frivolity of the complaint. Similarly, Defendant finds it unbelievable that, as alleged, Plaintiff paid Youtang $1.7 million without verification – beyond Defendant -- of its status and operations. Defendant further argues that the forgery allegations are implausible given the size of Plaintiff and the regulatory scheme under which it operated.

Defendant contends that Plaintiff has refused to produce supporting documentation. [*See also* Carle Decl. (ROA #23), ¶¶ 6-9.] And, finally, Defendant argues that Plaintiff has failed sufficiently to allege its fraud cause of action. He argues that all of the above shows the complaint was filed with an improper purpose.

Defendant has not produced any evidence, such as his own declaration, refuting the allegations of the complaint. He relies solely on his argued incredulity that Plaintiff, as the entity it is, could have acted as alleged in the complaint.

In opposition, Plaintiff's counsel declares that prior to retaining counsel Plaintiff completed its internal investigation, including

		contacting many of the investors that Defendant claimed were sourced by an entity called Youtang Overseas (Hong Kong) Consulting Co., Ltd. ("Youtang"). Each investor who responded stated that they had never heard of Youtang. Instead, they communicated only with Defendant regarding their ALCH investment. ALCH had also obtained evidence that Youtang was not a registered legal entity when it entered into the 2022 Procurement Agreement. [Bradley Decl. (ROA #75), ¶ 4.] Further, when it terminated Defendant Plaintiff offered to settle its claims against him but he refused. [*Id.,* 5.] Counsel also notes that prior to filing this action, Plaintiff, represented by current counsel, defeated Defendant's attempts to obtain unemployment benefits. Throughout that process, ALCH explained to EDD and the California Unemployment Insurance Appeals Board the results of its internal investigation of Defendant's conduct, as alleged in its complaint in this action. Defendant's request was denied at each level due to his misconduct. [Bradley Decl., ¶ 6.] Counsel also disputes Defendant's description of communications and course of events between counsel, including proposed and actual exchanges of information. [Bradley Decl., ¶¶7-21.] Counsel declares Plaintiff has produced almost 400 pages of documents, including screen shots of ALCH's communications with the investors at issue, in which the investors confirm they have never heard of Youtang and, instead, had all communications through Defendant. The production also contains documents and information about Youtang's formation. [*Id*, ¶¶ 12, 20.] In weighing all of the above, the court first notes that Defendant's arguments about the implausibility of Plaintiff's allegations do no establish that no reasonable attorney would fail agree that the complaint is totally and completely without merit. *Peake v. Underwood* (2014) 227 Cal.App.4th 428, 440. There are a number of scenario's about the management or structure of Plaintiff where Plaintiff's allegations would make sense. Nor has Defendant buttressed his arguments with his own evidentiary showing. Further, Plaintiff has submitted evidence that it and its counsel made a reasonable inquiry into the facts and entertained a good faith belief in the merits of the claim. There is the investigation itself, but also success – on the same facts asserted here – in defeating Defendant's application for unemployment insurance. [Bradley Decl., ¶¶ 4, 6.] Finally, it is early in the case. Plaintiff should be given an opportunity to develop its case and sharpen its pleadings in response to the pending demurrer and motion to strike. At this point, it is too soon to

		judge Plaintiff's case as one of the "rare and exceptional case where the action is clearly frivolous, legally unreasonable or without legal foundation, or brought for an improper purpose." *Kumar v. Ramsey* (2021) 71 Cal.App.5th 1110, 1120. Accordingly, the motion is denied. Including the above, and also based on the totality of the file and record in this case, Defendant has not carried his high burden sufficient to allow the granting of the motion. *Kojababian v. Genuine Home Loans, Inc.* (2009) 174 Cal.App.4th 408, 420-421. Moving party to give notice.
2	Brown vs. Podlubny 2025-01488249	Motion to Compel Further Responses to Form Interrogatories Motion to Compel Further Responses to Form Interrogatories Motion to Compel Further Responses to Special Interrogatories Motion to Compel Further Responses to Special Interrogatories Motion to Compel Production Motion to Compel Production Defendant Dmitriy Vladimirovic Podllubny, aka Dmitriy Podlubnyy ("Defendant"), seeks an order compelling further responses to form interrogatories, set one, special interrogatories, set one, and requests for production, set one, propounded on Plaintiffs Justin Brown and Lana Brown (collectively, "Plaintiffs"). Defendant also seeks monetary sanctions in the amount of $3,623.30 against Plaintiffs and Plaintiffs' counsel of record. Defendant seeks an order compelling each plaintiff to serve further responses to form interrogatory numbers 4.1, 6.3, 6.5, and 7.3, special interrogatory numbers 11, 15, 17, 18, 20, 23, 25, 26, 28, 29, 31, 32, 33, 34, 36, 37, 38, 40, 41, 43, 44, 46, and 47, and request for production numbers 2-33. Plaintiffs contend the motion is moot or reduced to a handful of residual issues after Plaintiffs twice supplemented the discovery at issue. (Opposition, 2:6-8; Luton Decl., ¶¶ 5, 6, 8, and 11, Exhibit 2.) Plaintiffs only provided a copy of the second set of Plaintiffs' supplemental responses to Special Interrogatories and Requests for Production. Plaintiffs did not submit any evidence showing whether the following discovery was supplemented in the first set of supplemental responses served on April 15, 2026: form interrogatory numbers 4.1, 6.3, 6.5, and 7.3, special interrogatory numbers 18, 20, 32, 33, 34, 40, 44, and 47, and request for production numbers 5, 9,

		11-17, 20, 21, 28, and 31-33. Defendant's reply contends Plaintiffs' April 15, 2026 supplemental responses supplemented 27 interrogatories and 32 requests for production, which is the same number of requests at issue in this motion. (Reply, 3:7-9.) The parties are ordered to appear and confirm which of these interrogatories and requests, if any, were supplemented in the April 15, 2026 supplemental responses.
3	Clark vs. Streamline Performance Inc 2025-01456342	Motion to Compel Arbitration Defendants Streamline Performance, Inc. dba Peachtree Debt Relief's ("Streamline"), KVC Group, LLC dba National Credit Partners', Michael Nguyen's and Kim Vo's motion to compel arbitration is granted. Plaintiff's request for judicial notice is granted. Defendant submits evidence showing that on 11/9/22, in connection with his employment onboarding with Streamline, Plaintiff received and signed the Arbitration Agreement, which states in part: > This Agreement to Arbitrate (hereinafter "Agreement") is entered into by and between Streamline Performance Inc dba Peachtree Debt Relief and its subsidiary and affiliated companies, and each of their officers, directors, agents, benefit plans, insurers, successors, and assigns (hereinafter collectively the "Company") and Employee.… > The Company and Employee mutually agree that any dispute or controversy arising out of or in any way related to any Disputes shall be resolved exclusively by final and binding arbitration pursuant to the Federal Arbitration Act. Such arbitration shall be held in Orange County, California pursuant to the Model Rules for Arbitration of Employment Disputes of the American Arbitration Association then in effect, which can be found at: https://www.adr.org/sites/default/files/Employment%20Rules.pdf. > For purposes of this Agreement, the term "Disputes" means and includes any claim or action arising out of or in any way related to the hire, employment, remuneration, separation or termination of Employee. […]

(Vo Decl., ¶ 13, Ex. A.)

While Plaintiff states he does not recall the agreement, he does not dispute that he signed it via Streamline's onboarding process. (Clark Decl., ¶¶ 4-8.) "It is hornbook law that failing to read an agreement before signing it does not prevent formation of a contract." (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 759.) "That settled rule cannot be evaded by adding, 'and if I had read the contract, I wouldn't've signed it.'" (*Id.*) Thus the Court finds that an arbitration agreement exists, executed by the parties.

Plaintiff contends that the agreement should not be enforced because it is unconscionable.

Unconscionability is one ground on which a court may refuse to enforce a contract, including an arbitration agreement. (Civ. Code §1670.5.) Whether a provision is unconscionable is a question of law. (Civ. Code §1670.5(a); *Flores v. Transamerica* (2001) 93 Cal. App. 4th 846, 851.)

To be unenforceable, a contract must be both procedurally and substantively unconscionable, but the elements need not be present in the same degree. The analysis employs a sliding scale: "…the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal. 4th 83, 114; *Mercuro v. Superior Court* (2002) 96 Cal. App. 4th 167, 174-75.)

Plaintiff argues that the agreement is procedurally unconscionable because it was presented on a take it or leave it basis. However, contracts of adhesion like this are not per se unconscionable. (See *Powers v. Dickson, Carlson & Campillo* (1997) 54 Cal.App.4th 1102, 1110 ("arbitration provision in an adhesion contract is legally enforceable unless the provision (1) does not fall within the reasonable expectations of the weaker party, or (2) is unduly oppressive or unconscionable.").)

Plaintiff additionally argues that because the agreement was not explained to him, it is procedurally unconscionable. (Clark Decl., ¶ 5.) But, Plaintiff does not state that he was prevented from asking questions or taking time to read and review the documents. And, Defendant's CEO, Kim Vo, declares that employees had unlimited time to review the Arbitration Agreement and were able to ask questions. (Vo Decl., ¶¶ 9-10.)

Plaintiff also contends there is procedural unconscionability because in order to access the rules of arbitration, he was required to click on a link to a 39-page document. These rules provided that "[t]he arbitrator may grant any remedy, relief, or outcome that the parties could have received in court, including awards of attorney's fees and costs, in accordance with applicable law." (See RFJN, Ex. A at Rule 46(a).) This does not demonstrate unconscionability. Clicking on a link to read the rules is not oppressive or a hardship. Given that the agreement provides that the law will be the same as if this case remained in court, there is no surprise or oppression.

Furthermore, the law provides that "an unsuccessful FEHA plaintiff should not be ordered to pay the defendant's fees or costs unless the plaintiff brought or continued litigating the action without an objective basis for believing it had potential merit." (*Williams v. Chino Valley Independent Fire Dist.* (2015) 61 Cal.4th 97, 100 [citing Gov't Code, § 12965].) Accordingly, both in court and in arbitration, Plaintiff will not be responsible for Defendant's costs unless it is found that his claims are frivolous.

With respect to substantive unconscionability, Plaintiff argues that the agreement is one-sided. This is not supported by the language in the agreement which states, "The Company and Employee mutually agree that any dispute or controversy arising out of or in any way related to any Disputes shall be resolved exclusively by final and binding arbitration pursuant to the Federal Arbitration Act. "

Plaintiff also contends that the confidentiality provision in the arbitration rules is substantively unconscionable. The confidentiality provision only prohibits the arbitrator from disclosing information related to the award. It does not affect Plaintiff as it states "[u]nless otherwise required by applicable law, court order, or the parties' agreement, the AAA and the arbitrator shall keep confidential all matters relating to the arbitration or the award." (RFJN, Rule R-42.)

Because Plaintiff has not established that the arbitration agreement is both procedurally and substantively unconscionable so as to render it unenforceable, Defendants' motion is granted.

This matter is hereby stayed pursuant to Code Civ. Proc., § 1281.4.

The Court sets a status conference on 2/22/2027 at 2:00 p.m. in Dept. C11.

Defendants shall give notice.

4	Griffin vs Ken Grody Ford 2023-01329848	Motion for Judgment on the Pleadings Motion to Strike Portions of Complaint **A. Motion for Judgment on the Pleadings as to the Third Amended Complaint (TAC)** Defendant Ken Grody Ford's Motion for judgment on the pleadings is granted as to the fourth cause of action for breach of fiduciary duty only in Plaintiff Tanner Griffin's Third Amended Complaint (TAC). The Motion is denied in all other respects. <u>Request for Judicial Notice is denied as unnecessary.</u> Defendant asks the Court to judicially notice Orders and pleadings in this case. These requests are denied as unnecessary. "It is not necessary to ask the court to take judicial notice of materials previously filed in the case; you should simply call the court's attention to such papers." (Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2025) ¶ 9.53.1a.) <u>Merits</u> The TAC brings the following claims against Defendant: (1) Breach of oral contract; (2) Negligence; (3) Breach of bailment (4) Breach of fiduciary duty; (5) Intentional misrepresentation; and (6) Conversion (7) Unfair business practices The Court notes that in the Caption, Plaintiff appears to list damages, attorney's fees, and punitive damages as causes of action numbers eight through ten. This would be improper. (*CRST, Inc. v. Superior Court* (2017) 11 Cal.App.5th 1255, 1264, there is no separate or independent cause of action for punitive damages.) The body of the TAC, however, does not identify the damages requests as separate causes of action. 1. <u>First Cause of Action for Breach of Oral Contract</u>

On 4/21/25, the Court previously overruled the Demurrer to this cause of action in the First Amended Complaint. (ROA 64.)

Undeterred, Defendant brought an MJOP as to this cause of action. On 2/23/26, the Court denied the MJOP as to this claim in the Second Amended Complaint. (ROA 195.) Thus, the Court has already held that the first cause of action properly states a claim – twice now.

The Court again finds sufficient facts are alleged.

2. Second Cause of Action for Negligence

Although Defendant did not challenge the negligence claim in the Second Amened Complaint, it now chooses to challenge it. " 'The elements of a cause of action for negligence are well established. They are "(a) a legal duty to use due care; (b) a breach of such legal duty; [and] (c) the breach as the proximate or legal cause of the resulting injury." ' " (*Ladd v. County of San Mateo* (1996) 12 Cal.4th 913, 917.)

The TAC alleges that Defendant owed a duty to protect Plaintiff's Vehicle and breached that duty by leaving the care in an unsecured area with the keys inside the vehicle. (TAC, ¶¶39-41.)

The TAC properly states a claim.

Defendant also argues that this was added without leave of court. That argument is addressed in the Motion to strike.

3. Fourth Cause of Action for Breach of Fiduciary Duty

"The elements of a cause of action for breach of fiduciary duty are: (1) existence of a fiduciary duty; (2) breach of the fiduciary duty; and (3) damage proximately caused by the breach." *Stanley v. Richmond* (1995) 35 Cal.App.4th 1070, 1086, citation omitted. "There are *two kinds* of fiduciary duties—those imposed by law and those undertaken by agreement." (*GAB Business Services, Inc. v. Lindsey & Newsom Claim Services, Inc.* (2000) 83 Cal.App.4th 409, 416, disapproved on other grounds by *Reeves v. Hanlon* (2004) 33 Cal.4th 1140, citations omitted.)

Fiduciary duties are imposed by law in certain technical, legal relationships such as those between partners or joint venturers, husbands and wives, guardians and wards, trustees and beneficiaries, principals and agents, and attorneys and clients. (*Ibid.*) "A fiduciary duty is undertaken by agreement when one person enters into a confidential relationship with another," i.e., "where a confidence is reposed by one person in the integrity of another" and the other person "voluntarily accepts or assumes to accept the confidence." (*Id.* at 417, citations omitted.)

The essential elements of a confidential relation giving rise to a fiduciary duty are as follows: "1) The vulnerability of one party to the other which 2) results in the empowerment of the stronger party by the weaker which 3) empowerment has been solicited or accepted by the stronger party and 4) prevents the weaker party from effectively protecting itself." (*Richelle L. v. Roman Catholic Archbishop* (2003) 106 Cal.App.4th 257, 272, citations omitted.) "The vulnerability that is the necessary predicate of a confidential relation, and which the law treats as 'absolutely essential,' usually arises from advanced age, youth, lack of education, weakness of mind, grief, sickness, or some other incapacity. (*Id*. at 273.)

The Court previously granted the Motion as to this claim finding in relevant part that:

Plaintiff has not alleged any facts to showing the existence of a fiduciary duty as a matter of law or that the parties entered into a confidential relationship giving rise to a fiduciary duty.

(ROA 195.)

There are no new facts alleged in this regard. Thus, the Motion is granted as to the fourth cause of action for breach of fiduciary duty. Plaintiff chose not to oppose this Motion and has not shown how he can amend this claim, when he has been unable to do so previously. Thus, leave to amend is now denied.

4. <u>Fifth Cause of Action for Intentional Misrepresentation</u>

"The elements of intentional misrepresentation 'are (1) a misrepresentation, (2) knowledge of falsity, (3) intent to induce reliance, (4) actual and justifiable reliance, and (5) resulting damage.''' *Aton,* 93 Cal.App.5th at 1245, citation omitted.

The Court held that Plaintiff has not alleged *how* he relied on the misrepresentation/false promise. (ROA 195.) The SAC pled that Defendant falsely represented to Plaintiff that they would make him whole after his car was stolen but lied about it. (SAC ¶¶53-58.)

In the TAC, Plaintiff attempts to allege a false promise, not intentional misrepresentation because it pertains to a *future act*. "The law is well established that actionable misrepresentations must pertain to past or existing material facts. Statements or predictions regarding future events are deemed to be mere opinions which are not actionable." (C*ansino v. Bank of America* (2014) 224 Cal.App.4th 1462, 1469, internal citation omitted.)

Rather, at best, this would be a false promise. " ' "Promissory fraud" is a subspecies of fraud and deceit. A promise to do something necessarily implies the intention to perform; hence, where a promise is made without such intention, there is an implied misrepresentation of fact that may be actionable fraud.' " (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 973−974, internal citations omitted.)

"[T]here are two causation elements in a fraud cause of action. First, the plaintiff's actual and justifiable reliance on the defendant's misrepresentation must have caused him to take a detrimental course of action. Second, the detrimental action taken by the plaintiff must have caused his alleged damage." (*Beckwith v. Dahl* (2012) 205 Cal.App.4th 1039, 1062, internal citations omitted.)

Plaintiff now alleges that in reliance on the representation that Defendant would replace his stolen vehicle, he "delayed securing a replacement vehicle for approximately three (3) months" and lost income as a result of not having a car. (TAC, ¶¶69, 70.)

Thus, at the pleadings stage the Court finds this sufficient to show reliance.

5. Sixth Cause of Action for Conversion

The elements of the tort of conversation are (1) the plaintiff's ownership or right to possession of personal property; (2) the defendant's disposition of the property in a matter that is inconsistent with the plaintiff's property rights; and (3) resulting damages. (*Regent Alliance Ltd. v. Rabizadeh* (2014) 231 Cal.App.4th 1177, 1181, citation omitted.) "[C]onversion is a strict liability tort. It does not require bad faith, knowledge, or even negligence; it requires only that the defendant have intentionally done the act depriving the plaintiff of his or her rightful possession." (*Voris v. Lampert* (2019) 7 Cal.5th 1141, 1158, citation omitted.)

The Court previously denied Defendant's to this cause of action directed to the Second Amended Complaint.

The Court again finds that sufficient facts are alleged.

B. Motion to Strike Portions of the TAC

Defendant's Motion to strike portions of Plaintiff's TAC is granted in part as set forth below, without leave to amend.

Defendant is now ordered to answer the TAC within 20 days.

<u>Claims Added Without Leave of Court</u>
Defendant moves to strike the newly added claims that were brought without leave of court, specifically:

- Second cause of action for negligence;
- Third cause of action breach of bailment;
- Seventh cause of action for unfair business practices under Business and Professions Code Section 17200;

The Court grants this request as to the third and seventh causes of action only.

The negligence claim was added in the Second Amended Complaint and Plaintiff chose not to address the claim at all.

However, the third and seventh claims were added for the first time to the TAC without leave of court.

The plaintiff may not amend the complaint to add a new cause of action without having obtained permission to do so, unless the new cause of action is within the scope of the order granting leave to amend. (*Harris v. Wachovia Mortg., FSB* (2010) 185 Cal.App.4th 1018, 1023.)

CCP § 436 grants the Court discretion to strike portions of a complaint at any time that are not in conformity with the laws of this state, a court rule, or an order of the court.

Thus, the Court strikes the third and seventh causes of action without prejudice to proper motion by Plaintiff.

Punitive Damages

Civil Code Section 3294, subdivision (a) provides for punitive damages: “In an action for the breach of an obligation not arising from contract, where it is proven by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice, the plaintiff, in addition to the actual damages, may recover damages for the sake of example and by way of punishing the defendant.”

Section 3294, subdivision (c) defines malice, oppression and fraud as follows: “(1) ‘Malice’ means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others. (2) ‘Oppression’ means despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person’s rights. (3) ‘Fraud’ means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.”

Civil Code Section 3294, subdivision (b) states: “An employer shall not be liable for damages pursuant to subdivision (a), based upon acts of an employee of the employer, unless the employer had advance knowledge of the unfitness of the employee and employed him or her with a conscious disregard of the rights or safety of others or authorized or ratified the wrongful conduct for which the damages are awarded or was personally guilty of oppression, fraud, or malice. With respect to a corporate employer, the advance knowledge and conscious disregard, authorization, ratification or act of oppression, fraud, or malice must be on the part of an officer, director, or managing agent of the corporation.”

Here, the TAC alleges in relevant part as follows:

> Contrary to standard protocol and prior assurances from the service department to secure the Vehicle in a locked service lot, an undisclosed service agent at Ken Grody Ford parked the

> Vehicle on an unsecured street. The keys were left inside, and the doors were unlocked, despite the imminent closure of the Service Department at 3:00PM and the absence of personnel to monitor the area. This conduct was highly unusual and contrary to established security practices, especially given that a secure lot was available for such purposes. The deliberate decision to leave the Vehicle in such a vulnerable state suggests a coordinated effort to facilitate its theft, rather than an oversight.

(TAC, ¶62, see also ¶¶78-79.)

Conspiring with the unknown perpetrator to steal Plaintiff's car warrants punitive damages, if true; and the Court must accept these allegations as true. Similarly, in the fraud claim, punitive damages are properly alleged.

Plaintiff also alleges ratification sufficient to warrant punitive damages against the entity Defendant. (See TAC, ¶108.)

Thus, the Motion is denied as to punitive damage sought in the two intentional tort claims.

To the extent punitive damages are sought for the first and second causes of action for breach of oral contract and negligence, the Motion is granted and punitive damages are stricken.

<u>Attorney's Fees</u>
Code of Civil Procedure section 1033.5, subdivision (a) provides in part: "The following items are allowable as costs under Section 1032: . . . (10) Attorney's fees, when authorized by any of the following: (A) Contract. (B) Statute. (C) Law."

Plaintiffs have not alleged any contract, statute or law which allows for the recovery of attorney's fees. The Court previously granted the Motion directed to the SAC to strike attorney's fees and Plaintiff failed to show entitlement. Leave is now denied.

<u>What remains in the TAC:</u>
In sum, the first claim for breach of contract, the second claim for negligence, the fifth claim for false promise, and the sixth claim for conversion remain in the TAC. Punitive damages are stricken except for the fifth and sixth causes of action. The requests for attorney's fees are stricken. Further leave to amend is denied.

		The Court will set a trial date at the OSC and CMC hearing. Case Management Conference OSC re: Monetary Sanctions
5	Holland vs. South Orange County Community College District 2022-01265727	Motion to Compel Further Responses to Special Interrogatories Motion to Compel Production Continued to August 4, 2026 at 1:30 p.m.
6	Lee vs. Rainone Enterprises, LLC 2025-01469318	Motion for Summary Judgment and/or Adjudication **Off Calendar**
7	Lipton vs. Ooblix, Inc. 2025-01458340	Motion to Be Relieved as Counsel of Record The unopposed motion by Callahan & Blaine, PC ("Counsel"), attorney of record for Defendant Ooblix, Inc. ("Ooblix") for an order permitting counsel to be relieved as attorney of record for Ooblix in this action is GRANTED. Counsel complied with CRC Rule 3.1362. Upon the signing of the revised order, Counsel shall serve the signed revised order on Ooblix and all parties who have appeared. The revised order granting relief shall be effective when proof of service of the signed revised order (including the future OSC for representation date of September 14, 2026 at 9:00 am) on Ooblix and all parties is filed with the Court.

		The Court reminds Ooblix that an entity must be represented in court by a licensed attorney. It cannot represent itself in court, either in pro per or through an officer or agent who is not an attorney. (*Paradise v. Nowlin* (1948) 86 Cal.App.2d 897, 898.) OSC for representation date of September 14, 2026 at 9:00 a.m. in Department C11. Counsel shall give notice of the ruling.
8	Lomeli de Facio vs. Sodexo, Inc. 2020-01162342	Motion for Summary Judgment and/or Adjudication **Off Calendar – Case has been stayed.**
9	Quick Bridge Funding, LLC vs. McCabe General Contracting LLC 2024-01433611	Motion to Be Relieved as Counsel of Record Motion to Be Relieved as Counsel of Record The motion of Jeffery P. Boykin, counsel of record for defendants McCabe General Contracting LLC and Sean McCabe, seeks orders relieving him as counsel for each of Defendants is granted as to McCabe General Contracting LLC and denied as to Sean McCabe. Sean McCabe was dismissed from this action on 4/13/26. [ROA #92.] Accordingly, he is no longer a party to this action and the court has no jurisdiction over him. As to McCabe General Contracting LLC, the court will sign the proposed order. Upon the signing of the order, counsel shall serve the signed order on Defendant McCabe General Contracting LLC and on plaintiff Quick Bridge Funding, LLC. Counsel will be relieved as counsel of record for Defendant McCabe General Contracting LLC effective upon the filing of the proof of service of the signed and revised (OSC re. Representation on September 14, 2026 at 9:00 a.m.) order upon Defendant and Plaintiff. OSC re. Representation on September 14, 2026 at 9:00 a.m.